



Weekly Market Note
October 9th, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	-1.15%	12.25%
MSCI Asia Pacific	Equity	-0.20%	19.52%
MSCI Europe	Equity	-4.54%	7.13%
MSCI China	Equity	-4.55%	-12.08%
MSCI Emerging Markets	Equity	-0.50%	23.86%
Bloomberg Barclays Global Aggregate Index	Fixed Income	-2.38%	-2.66%
Bloomberg Commodities Index	Commodities	0.29%	29.27%
HFRX Global	Hedge Fund	-0.44%	3.95%
HFRX Macro/CTA	Hedge Fund	1.26%	7.00%
HFRX Equity Hedge	Hedge Fund	-0.97%	6.88%

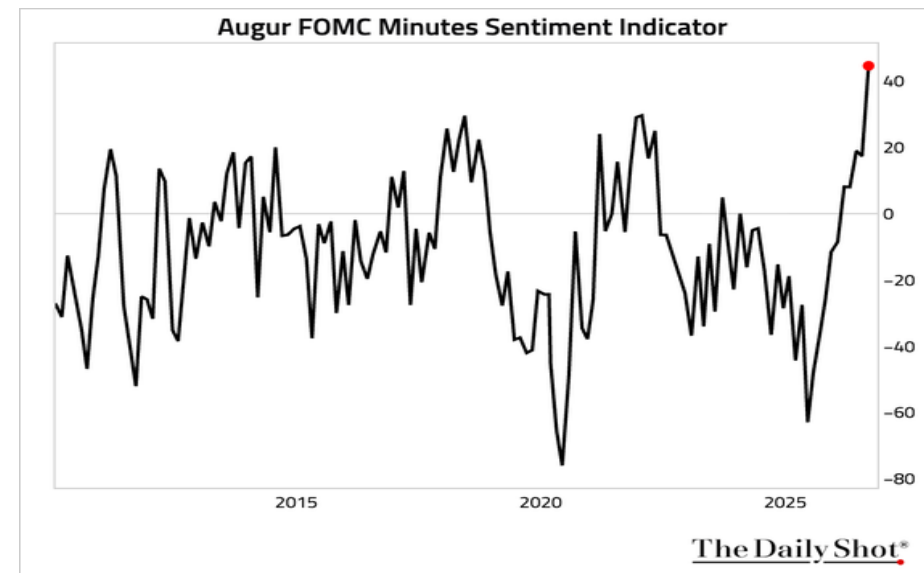
*Index data as of September 30, 2026

Global Markets and Economic Data:

The hits keep coming! An errant Reuters report on a shocking fall in OpenAI's revenue spurred on a wild factor rotation on Thursday that coincided with continued "Taco-ism" from the folks on Pennsylvania ave.

- **US:** FOMC minutes signaled the committee was in consensus on September's rate hike and agreed another hike in Q4 could be "appropriate". Oct. Michigan Consumer Sentiment readings plummeted back towards multi-year lows spurred on by rising prices.
- **Switzerland/UK/Europe:** The Swiss Unemployment Rate remained unchanged at 3% and consumer confidence marginally improved. Recent UK housing data signaled a slowdown in buyer interest. German Aug. Industrial Production rose 2% m/m, ahead of expectations.
- **China/Japan:** Chinese FX reserves fell to \$3.4T in Sep., dropping by \$38b due to a stronger USD and rising US Treasury yields. Japan's consumer confidence index fell slightly from August's six-month high.

Clear and present HAWKISHNESS



- *FOMC Sep. minutes provided little relief for bond bulls desperately seeking catalysts to stem the rise in yields.*
- *Most committee members agreed that inflation risks are tilted to the upside while the committee unanimously voted on the "prudent" hike.*
- *Dual forces of geopolitically fueled energy shortages and the global capex boom continue to pressure yields.*
- *Global Macro managers are adjusting to developments with the sentiment growing that long FI exposure is more of a liability than an asset.*

Market Spotlight: September 2026 market recap

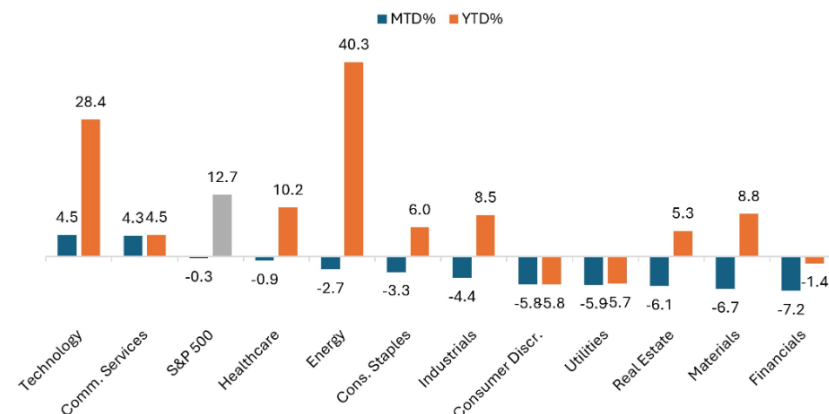
September Market Recap:

The month was marked by equity sector and global divergence amidst central bank rate hikes. Rising bond yields fueled by hawkish central bank actions resonated across markets, but tech stocks remained highly resilient. The FOMC raised interest rates by 25bps to 3.75%, its first increase since 2023. The European Central Bank and Bank of Japan similarly tightened policy amid persistent inflationary pressures. Consequently, the most pronounced price action emanated from fixed income where the 10-year yield surged by 54 basis points to 5.29% and the 30-year hit a multi-year high. In US equities, the S&P 500 closed the month with a 0.60% loss and remains up 12.8% YTD. However, stark tech outperformance masked deteriorating breadth. The tech-heavy Nasdaq index gained almost 5% for the month while the Russell 2000 fell by 6%. Notably, nine of eleven sectors in the US equity markets registered declines for the month. Ex-US equities similarly faced selling pressure. Ongoing geopolitical tensions spurred a 10% rally in crude prices, accompanied by a steady increase in refined oil product prices. Meanwhile, Eurozone energy prices surged, while precious metals came under selling pressure amid the rising interest rate environment. Rising interest rates also served to drive US dollar strength with the US dollar index rising 2% with gains coming from EM and European FX while the Japanese yen gained against the US dollar.

Tech outperformance

Tech and Communication Services posted solid gains, while all other sectors fell

S&P 500 sector performance (September and year to date)

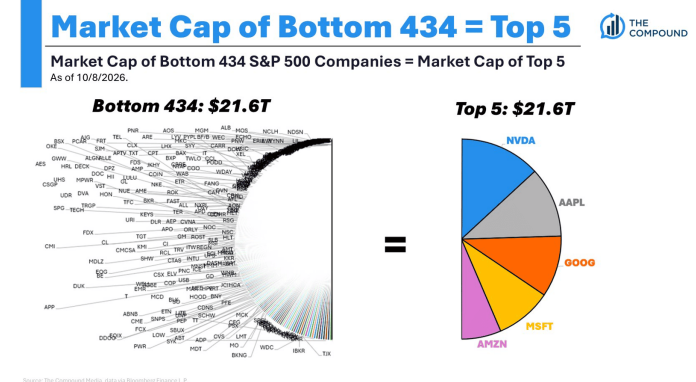
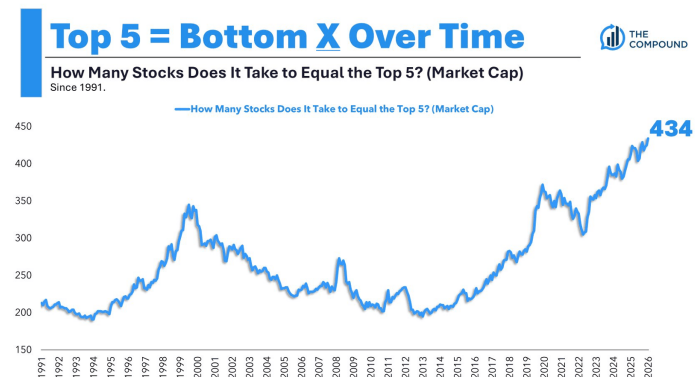
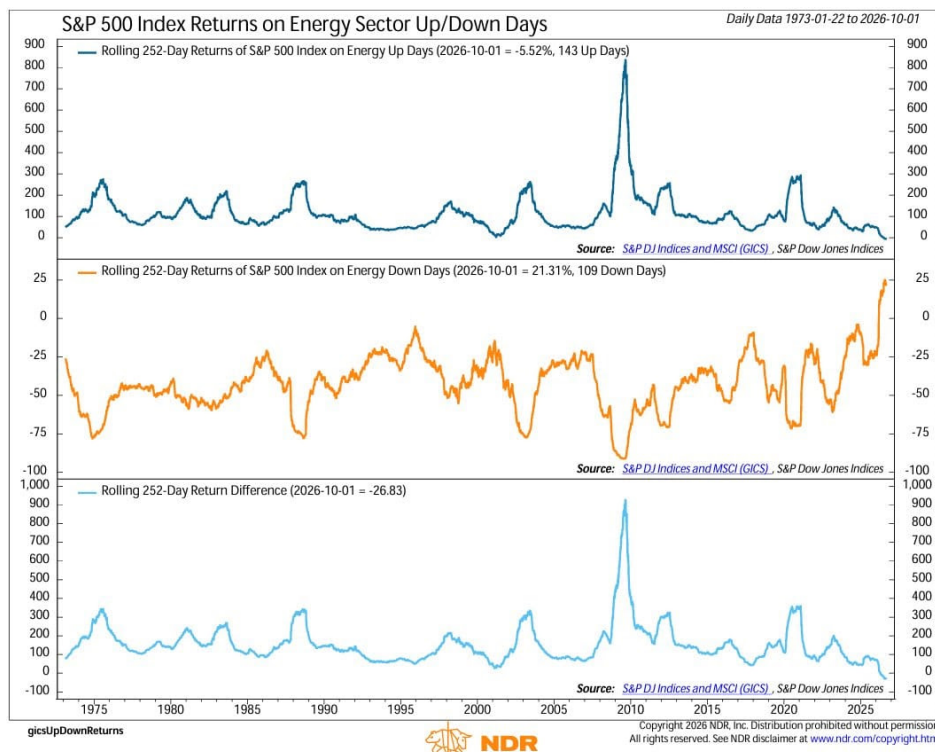


Source: Bloomberg, as of 30 September 2026. Past performance is no guarantee of future results.

- Some equity sectors responded negatively to the FOMC interest rate raise and the spike in bond yields while others did not.
- Technology and tech-adjacent Communications Services sectors were the leaders last month by a wide margin as all other US equity sectors closed out the month negative.
- The narrow market leadership took its toll on Equity Long/Short hedge fund performance. The rare positive performers were coincidentally tech specialists.

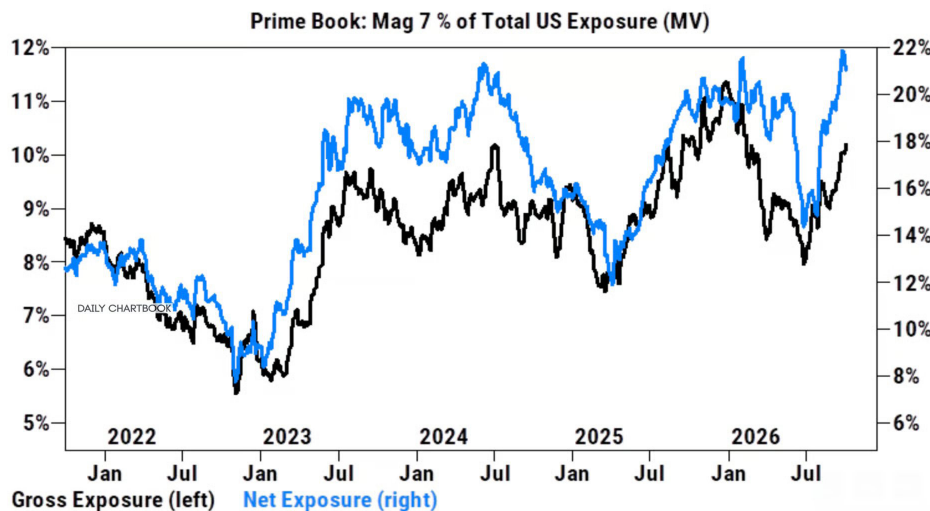
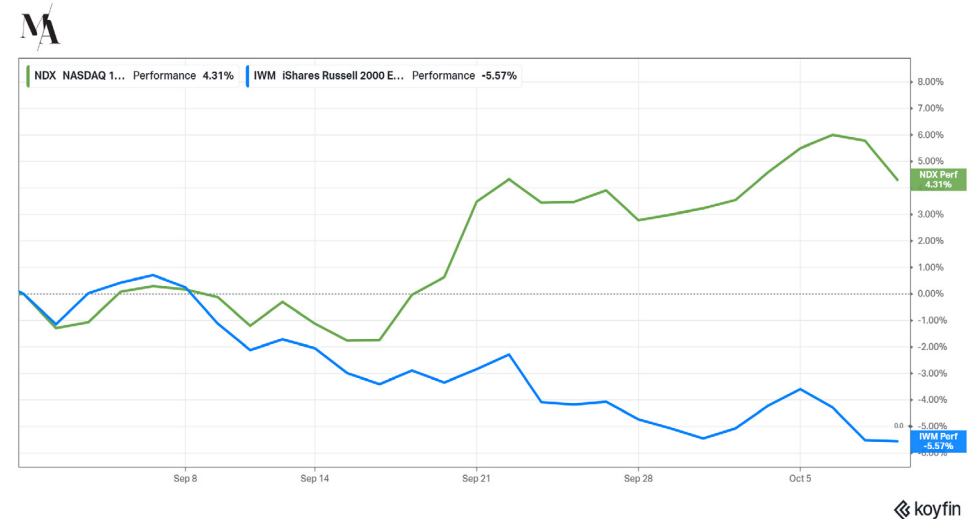
Market Spotlight: AION (AI or Nowhere duh?)

- One does not need to short equities these days to hold a portfolio that is “negatively correlated with the S&P 500”. Investors must simply hold exposure to the energy sector or try their luck in the deep wide ocean of non-Mag 7 names.
- The lack of market volatility at the index level on both an implied and realized basis stems from high concentration with the mega caps, making the S&P 500 less of a real barometer of the overall health of the US equity market.
- To further compound portfolio construction, geopolitics has made energy the new defensive geopolitical risk hedge.
- With these fairly asymmetric dynamics in the marketplace, stock pickers face an uphill technical battle when attempting to monetize and risk manage their fundamental views.



Market Spotlight: HF Positioning in Equities Winners/Losers

- The FOMC rate hike in September created massive divergence in US equities with tech/growth stocks in the Nasdaq 100 vastly outperforming small-cap stocks in the Russell 2000.
- The hedge fund industry in aggregate holds positioning that aligns with the recent price action as both Mag 7 long and Russell 2000 short exposures are elevated.
- The divergence in equity market performance in various subsets is reflected in wide variability of Equity Long/Short manager YTD returns with winners coming from Tech/AI bulls and losers coming from value oriented old economy specialists.



Source: GS Prime Brokerage as of 10/5/2026. Past performance is not indicative of future results.

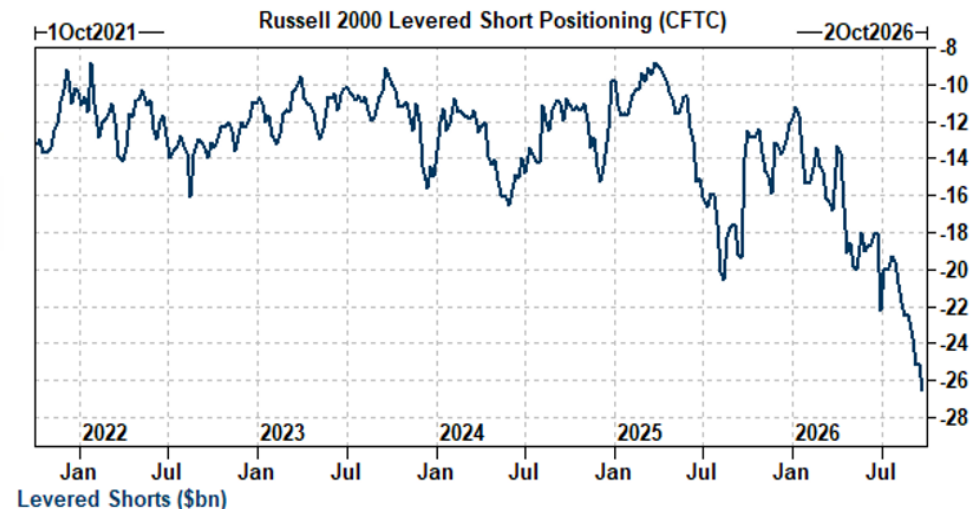


Chart Source: Goldman Sachs

Celebrating Diogo Dias!

The Accidental Discovery of São Lourenço

The year was 1500, and Diogo Dias gripped the ship's rail as another wave crashed across the bow. He was supposed to be sailing with Pedro Álvares Cabral's fleet toward India, but a fierce storm near the Cape of Good Hope had scattered the Portuguese vessels like leaves on the wind. For days, Dias had seen nothing but churning seas and gray sky, his crew growing increasingly anxious about their fate.

On August 10th, as the sun broke through the clouds, a lookout's cry pierced the air: "Land! Land ahead!" Dias rushed to the helm, squinting at the dark silhouette rising from the ocean. No European charts mentioned this place. No Portuguese navigator had ever recorded its existence. His heart pounding with the thrill of discovery, Dias ordered the ship to approach.

As they drew closer, Dias could make out lush green forests and pristine beaches stretching along the coastline. The crew lowered boats and waded ashore, planting the Portuguese flag in the sand. Dias, deeply religious like many explorers of his time, named the island "São Lourenço" (Saint Lawrence) in honor of the holy day on which they'd found it.

The local inhabitants, the Malagasy people, watched warily from the interior as the Portuguese sailors explored this corner of their world. Dias spent only a brief time ashore before continuing his journey, but he knew he'd accomplished something extraordinary. He'd revealed to Europe an entire island kingdom previously unknown to Western knowledge.

Though storms had blown him off course, Diogo Dias had inadvertently secured his place in history. The island would eventually become known as Madagascar, and though Dias would fade into relative obscurity compared to other great explorers, his chance discovery had opened a new chapter in the age of exploration, a chapter that would reshape the world.





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